IN THE UNITED STATES BANKRUPTCY COURT
FOR THE SOUTHERN DISTRICT OF ILLINOIS
EFFINGHAM DIVISION

In re: BOYCE ALLEN BURNS and AMANDA LANE BURNS, Debtors. NANCY J. GARGULA, United States Trustee, Plaintiff, v. DEIGHAN LAW LLC f/k/a LAW SOLUTIONS CHICAGO LLC, d/b/a UPRIGHT LAW LLC, and JAMES E. FORD, Defendants.	Case No. 19-60349 Chapter 7 Adversary No. 20-06018

MEMORANDUM IN SUPPORT OF MOTION TO WITHDRAW

I. Overview of Arguments

Cause exists for the granting of the Motion[1] for at least three reasons. First, Defendants possess a Seventh Amendment right to a jury trial on the claims asserted by the United States Trustee in her Complaint (Doc. 1) (the "Complaint") pursuant to 11 U.S.C. § 526[2] (Counts I, and II). To the extent that a Bankruptcy Court is permitted to conduct a jury trial with unanimous express consent from the parties, Defendants do not provide such consent. For this reason alone, withdrawal of the reference is required in this case.

[1] Capitalized terms not defined in this memorandum have the same meanings as ascribed to them in Defendants' Motion to Withdraw the Reference (the "Motion"), to which this memorandum is attached.

[2] Hereafter, citations to a section of title 11 (the "Bankruptcy Code") will be "Section __" or "§ __."

Second, withdrawal of the reference is mandatory because adjudication of this case requires consideration of constitutional issues — including but not limited to the Due Process clause of the Fifth Amendment. In an adversary proceeding, defendants have a due process right to a neutral arbiter. Yet, this proceeding is the product of the Bankruptcy Court's sua sponte initiation of dozens of investigations of UpRight Law, and its directive to the UST to conduct those investigations. In the course of this investigatory process, the Bankruptcy Court, inter alia, (i) usurped the administrative functions performed by the Chapter 7 Trustee in the underlying bankruptcy case, and (ii) prejudged the merits of this case based on inferences it drew without conducting an evidentiary hearing. Given this background, Defendants respectfully submit that the Bankruptcy Court cannot serve as a neutral arbiter. It would be unfair, and inconsistent with the appearance of judicial neutrality, for the Bankruptcy Court to preside over an adversary proceeding that is the product of an investigation the Bankruptcy Court directed the UST to undertake.

Third, cause also exists to withdraw the reference because the factors that support permissive withdrawal are present. Among other considerations, the UST's claims are not "core," as they have nothing to do with the administration of the bankruptcy estate, which has already been fully administered. Because these claims are not core, the Bankruptcy Court cannot enter a final judgment, and any recommendation that the Bankruptcy Court might make would need to be reviewed de novo by this Court. To avoid that duplication of effort, considerations of judicial efficiency (among other factors) warrant withdrawal of the reference in this case.

II. Procedural Posture of this Adversary Proceeding

Distilled to its essence, the instant proceeding is an attempt to transform Defendants' successful representation of the debtors, Boyce and Amanda Burns (the "Debtors"), into a broad condemnation of UpRight Law that purports to seek, inter alia, civil penalties based on a variety of purported false statements and misrepresentations that are not alleged to have harmed a

substantial right of the Debtors or their bankruptcy estate.[3]

The Debtors engaged UpRight Law to represent them in a Chapter 7 bankruptcy for a flat attorney fee of $1,250.[4] UpRight Law did, in fact, provide such representation to the Debtors.[5] The Firm filed their Chapter 7 Bankruptcy Petition in September 2019.[6] They received a discharge in April 2020.[7] The UST makes no allegation that the Debtor expressed any concern (let alone lodged a complaint) to anyone regarding Defendants' representation of them.

Nevertheless, nine months after the Debtors received their discharge and after the Chapter 7 Trustee issued his Report of No Distribution (Doc. 40 in 19-60349) on March 30, 2020, the UST filed her four-count Complaint against Defendants on December 31, 2020. Two of the counts alleged violations of § 526, and purported to seek, inter alia, civil penalties against Defendants totaling $55,000.00.[8] The third Count purported to seek disgorgement of the attorney fee paid to UpRight Law pursuant to § 329 and Rule 2017, even though the Chapter 7 Trustee and the UST never objected to any fee paid to Upright Law during the Debtors' Bankruptcy.[9]

Defendants moved to dismiss the Original Complaint on January 29, 2021.[10] On March 15, 2021, the Bankruptcy Court denied that motion in its entirety without issuing any written

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[3] Rule 61 of the Federal Rules of Civil Procedure, made applicable to this case under Federal Rule of Bankruptcy Procedure 9005, provides that "[a]t every stage of the proceeding, the court must disregard all errors and defects that do not affect any party's substantial rights." Fed. R. Civ. P. 61 (emphasis added). Hereafter, references to a Federal Rule of Bankruptcy Procedure will be "Rule __."

[4] See Complaint, Doc.1, at ¶ 104;

[5] See Complaint, Doc.1, passim.

[6] See Chapter 7 Voluntary Petition, Doc. 1 in In re Burns, Bankr. Case No. 19-60349-lkg (Bankr. S.D. Ill.) (the "Burns Bankruptcy"). Hereafter, citations to docket entries and filings in the Debtors' Bankruptcy will be "Doc. __ in 19-60349."

[7] See Order of Discharge, Doc. 41 in 19-60349.

[8] See Complaint, Doc. 1, at ¶ 136(D), 139(D).

[9] Id. at ¶ 175(D).

[10] See Defendants' Motion to Dismiss the Adversary Complaint (Doc. 5).

opinion.[11]

On March 29, 2021, Defendants filed their Answer and Additional Defenses (Doc. 12) (the "Answer") to the Complaint. Among other aspects of their Answer, Defendants denied the UST's allegation that the UST's action constitutes a core proceeding.[12] They also made a jury demand.[13] Defendants subsequently filed the instant Motion.

III. The Bankruptcy Court's Investigation in the Debtor's Bankruptcy

During a period of more than two years that preceded the filing of the Complaint, the Bankruptcy Court sua sponte orchestrated a sweeping investigation of UpRight Law by issuing "notices" of hearings ("Notices") "to consider and act upon the . . . Disclosure of Compensation of Attorney" filed by the debtor's counsel in dozens of Chapter 7 cases filed by UpRight Law on behalf of its clients.[14] The Notices did not identify any Bankruptcy Code provision or Bankruptcy Rule that is alleged to have been violated by the Disclosures of Compensation of Attorney for Debtor(s) (the "Disclosures"), nor did they indicate what relief, if any, might be imposed on UpRight Law or its attorneys based on the Disclosures. Moreover, the Notices did not allege that the amounts disclosed in the Disclosures were incorrect.

Currently, the Bankruptcy Court has issued Notices in 53 cases filed by UpRight Law on behalf of its clients.[15] In 45 of those cases, the Notices were issued within seven days after the bankruptcy petitions were filed.[16] In three cases, the Notices were issued after a discharge order

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[11] See Minutes of Court re. Defendants' Motion to Dismiss (Doc. 11), at 1.

[12] See Answer, Doc.12, at ¶ 3.

[13] Id. at 1.

[14] See, e.g., Doc. 26 in 19-60349.

[15] See Table attached as Exhibit A, which identifies the cases in which the Bankruptcy Court has issued notices.

[16] See Ex. A (9 notices issued within 1 day of filing; 13 notices issued within 2 days of filing; 10 notices issued within 3 days of filing; 4 notices issued within 4 days of filing; 3 notices issued within 5 days of filing; and 5 notices issued within 7 days of filing).

had been entered.[17] Importantly, none of the Notices identified any wrongdoing on the part of UpRight Law or its attorney. Despite the fact that, to date, Reports of No Distribution (the "Final Reports") have been filed, and discharges have been entered, in 43 of these cases,[18] as the Bankruptcy Court refuses to perform the ministerial act of closing them as required by § 350, and Rule 5009. Thus, the cases remain open to the detriment of the innocent debtors. The Bankruptcy Court continues to issue, in apparent reflexive fashion, new Notices in cases filed by UpRight Law, often shortly after they are filed.

In July 2020, UpRight Law and dozens of its clients, including the Debtors, filed Motions to Close Case,[19] all of which the Bankruptcy Court denied.[20] Soon thereafter, on September 30 and October 1, 2020, UpRight Law and its clients filed motions to withdraw the reference (the "Initial Motions to Withdraw") and notices of appeal of the orders in which the Bankruptcy Court denied the Motions to Close.[21]

On October 30, 2020, the Bankruptcy Court issued identical Opinions[22] (collectively, the "Opinion") that reflected its rationale for denying the Motions to Close. In that Opinion, the Bankruptcy Court acknowledged that each of the subject cases was capable of being closed because the Chapter 7 Trustee had issued the Final Report without objection and a discharge had been entered.[23] The Bankruptcy Court also acknowledged that generally, when such events occur, bankruptcy courts close those cases.[24] The Bankruptcy Court nevertheless stated that it

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[17] See Exhibit A (104 days, 48 days, and 41 days after the discharge order was issued).

[18] See Exhibit A (in 36 of the cases, discharge orders were issued over 100 days ago).

[19] See, e.g., Docs. 57 and 58 in 19-60349.

[20] See, e.g., Minutes of Court, Doc. 77 in 19-60349.

[21] See, e.g., Docs. 82 and 84 in 19-60349. The Initial Motions to Withdraw and Notices of Appeal appeals have since been consolidated under lead case numbers 20-1176 and 20-1006, respectively.

[22] See, e.g., Doc. 94 in 20-30186, attached hereto as "Exhibit B."

[23] See Opinion, Ex. B, at 37.

[24] Id. at 39.

was not required to close these cases because the UST was still in the process of conducting court-ordered investigations through Rule 2004 Examinations in each of the subject matters. Rather than following the unambiguous mandates of § 350 and Rule 5009,[25] the Bankruptcy Court indicated that "[t]he cases should remain open at least until the 2004 Examinations have taken place and the U.S. Trustee has had an opportunity to evaluate the testimony and file additional [adversary complaints], if necessary."[26]

Of note, in the Opinion, the Bankruptcy Court purported to issue "Findings of Fact." These "Findings of Fact" appear to represent the Bankruptcy Court's views on the merits of these bankruptcy cases, despite the fact that there were no contested matters before it, and no evidentiary hearings were conducted in any of these bankruptcy cases. Now the UST has been using this Order in an attempt to foreclose Defendants from asserting defenses. (ECF No. 43 at p. 17)

Certain aspects of the Opinion are particularly notable. For instance, during multiple pre-Opinion proceedings related to its investigations, the Bankruptcy Court indicated that those investigations are not genuinely about the attorney fees charged in the subject cases.[27] But later, in an attempt to justify its refusal to close the bankruptcy cases so that its investigations could proceed, the Bankruptcy Court characterized the fees charged in these cases, which consisted of flat fees that ranged from $1,050 to $1,775, as "egregious."[28]

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[25] Section 350(a) provides: "After an estate is fully administered and the court has discharged the trustee, the court shall close the case." 11 U.S.C. § 350 (emphasis added). "[Rule 5009] is the same as § 350(a) of the Code." Fed. R. Bankr. P. 5009, 1983 Advisory Comm. Note.

[26] See Opinion, Ex. B, at 39.

[27] During a January 28, 2020 hearing, the Bankruptcy Court stated, "this has always been more than just an issue of the amount charged . . . ." See Transcript of Jan. 28, 2020 Hrg., attached hereto as "Exhibit C," at 7:6-7 (emphasis added). Then, during the course of hearings on April 28 and 29, 2020, which resulted in the Bankruptcy Court authorizing over 50 Rule 2004 Examinations of the Firm and its clients, the Bankruptcy Court stated "And this is where, you know, Upright always wants to hone the case down into the amount of the fees, the amount of the fees, the amount of the fees. That's not it. That's not where I'm having my problem." See Transcript of Apr. 28, 2020 Hrg., attached as "Exhibit D," at 23:9-12 (emphasis added).

[28] See Opinion, Ex. B, at 41.

IV. Legal Standard

Pursuant to § 157(a), "[e]ach district court may provide that any or all cases under title 11 and any or all proceedings arising under title 11 or arising in or related to a case under title 11 shall be referred to the bankruptcy judges for the district." Id. Thus, district courts may refer any or all proceedings arising under title 11 to the bankruptcy judges of their district, which the Southern District has done. See Stern v. Marshall, 564 U.S. 462, 473 (2011) (citing 28 U.S.C. § 157(a); S.D. Ill. Local Rule Br 1001.1. A district court also "may withdraw, in whole or in part, any case or proceeding referred to the bankruptcy court under [§ 157], on its own motion or on timely motion of any party, for cause shown." See Stern, 564 U.S. at 473; 28 U.S.C. §157(d).

The phrase "for cause shown" is not defined in § 157. In re K & R Express Syst., Inc., 382 B.R. 443, 446 (N.D. Ill. 2007). In the Seventh Circuit, withdrawal of the reference is required when a litigant has a right to a jury trial, and does not consent to a jury trial in the bankruptcy court. See Matter of Grabill Corp., 967 F.2d 1152, 1158 (7th Cir. 1992) (reversing denial of motion to withdraw the reference when party had a right to a jury trial); Davidson v. Bristol-Myers Squibb Co., No. 10-CV-970-MJR, 2011 WL 13234404, at *2 (S.D. Ill. Sept. 30, 2011) (referral to bankruptcy court withdrawn where defendants had right to jury trial and "made clear that they [did] not consent to trial before the bankruptcy court"). District courts are also mandated to withdraw the reference upon timely motion "if the court determines that resolution of the proceeding requires consideration of both title 11 and other laws of the United States regulating organizations or activities affecting interstate commerce." 28 U.S.C. § 157(d); see, e.g., Picard v. Avellino, 469 B.R. 408, 414 (S.D.N.Y. 2012) (consideration of constitutional issues mandated withdrawal of reference).

District courts may also permissively withdraw the reference based on factors that include, inter alia, promoting the uniformity and efficiency of bankruptcy administration, judicial economy, and conservation of resources. In re K & R Express Syst., Inc., 382 B.R. at 446. Further, permissive withdrawal may be especially appropriate for non-core proceedings, see,

e.g., In re Orion Pictures Corp., 4 F.3d 1095, 1101 (2d Cir. 1993); In re K & R Express Syst., Inc., 382 B.R. at 446) ("[T]he most important factor is whether a proceeding is core or non-core, as efficiency, uniformity and judicial economy concerns are largely subsumed within it . . . ."), "or in any other case containing sensitivities such that a determination by an Article III judge is required to insure the appearance and the reality of independence and impartiality in the decision," In re Texaco Inc., 84 B.R. 911, 925 (S.D.N.Y. 1988) (quoting Pacemaker Diag. Clinic of Am. v. Instromedix, Inc., 725 F.2d 537 (9th Cir. 1984).

V. Argument

A. This Court must withdraw the reference because Defendants are entitled to a jury trial on the UST's § 526 claims, which must be conducted in an Article III court.

1. Defendants have a constitutional right to a jury trial on the UST's § 526 claims.

The Seventh Amendment to the U.S. Constitution provides that "[i]n suits at common law, where the value in controversy shall exceed twenty dollars, the right of trial by jury shall be preserved." Thus, written into this nation's basic charter is the notion that trial by jury is:

> the normal and preferable mode of disposing of issues of fact in civil cases at law as well as in criminal cases. Maintenance of the jury as a fact-finding body is of such importance and occupies so firm a place in our history and jurisprudence that any seeming curtailment of the right to a jury trial should be scrutinized with the utmost care.

Dimick v. Schiedt, 293 U.S. 474, 485, 55 S. Ct. 296, 301 (1935) (emphases added), quoted with approval in Beacon Theatres, Inc. v. Westover, 359 U.S. 500, 501, 79 S. Ct. 948, 952 (1959). Thus, any effort to limit a litigant's jury trial rights must be carefully examined before it will be allowed.

The basic decisional unit in determining the existence of a right to jury trial is not the case but the particular issue within a case on which a trial by jury is demanded. Ross v. Bernhard, 396 U.S. 531, 538 (1970) ("The Seventh Amendment question depends on the nature of the issue to be tried rather than the character of the overall action.") The Supreme Court

interprets "suits at common law" to mean cases involving legal rights, as distinguished from equitable claims. Granfinanciera, S.A. v. Nordberg, 492 U.S. 33, 41 (1989). In determining whether a party has legal claim, and thus a jury trial right, in the context of a statutory claim, the Supreme Court has articulated the following test:

> In determining whether a claim in a case presents an equitable or legal issue, [f]irst, we compare the statutory action to 18th-century actions brought in the courts of England prior to the merger of the courts of law and equity. Second, we examine the remedy sought and determine whether it is legal or equitable in nature. The second stage of this analysis is more important than the first. If, on balance, these two factors indicate that a party is entitled to a jury trial under the Seventh Amendment, we must decide whether Congress may assign and has assigned resolution of the relevant claim to a non-Article III adjudicative body that does not use a jury as factfinder. Id. (citations omitted).

The jury trial right thus turns on a two-part "compare actions" and "remedy sought" test. If these factors indicate that a party is entitled to a jury trial, it is also necessary to decide whether Congress may assign and has assigned resolution of the relevant claim to a non-Article III adjudicative body that does not use a jury as a factfinder. As illustrated below, application of the Granfinanciera test confirms that Defendants are entitled to a jury trial on the UST's § 526 claims.

2. The UST's claims for civil penalties under § 526 entitled Defendants to a jury trial.

Claims brought by the Federal Government that purport to seek civil penalties have long been held to be analogous to actions in debt that fell within jurisdiction of the English courts of law. See, e.g., Tull v. United States, 481 U.S. 412, 418 (1987) (compiling cases). Accordingly, where the Government seeks to recover civil penalties under a statutory provision, it historically has been viewed as an action in debt requiring trial by jury. Id. at 418-19

For example, in Tull, a case in which the Federal Government sought civil penalties against the Petitioner for statutory violations of the Clean Water Act, 33 U.S.C. §§ 1251, et seq., the Supreme Court held that the Petitioner was entitled to a jury trial. Id. at 425. In so holding, the Supreme Court considered — and rejected — the Government's argument that its claims

brought under the Clean Water Act were more analogous to an action to abate a nuisance than one to collect a debt. See id. at 420. The Court also rejected the notion that it needed to rest its conclusion on an "abstruse historical" search for the nearest 18th century analogy. Id. at 421 (citing Ross v. Bernhard, 396 U.S. 531, 538 n. 10 (1970)). Rather, the Court emphasized that "characterizing the relief sought is 'more important' than finding a precisely analogous common-law cause of action in determining whether the Seventh Amendment guarantees a jury trial." Id. (citing Curtis v. Loether, 415 U.S. 189, 196 (1974)).

Applied to the instant context, the reasoning of Tull confirms that Defendants are entitled to a jury trial. As in Tull, the Federal Government in this case purports to seek a civil penalty pursuant to a federal statute, i.e., § 526(c)(5). Moreover, the instant case presents an even more compelling case for application of the Seventh Amendment than Tull did, given that the UST's §526 claims are also analogous to traditional common law claims for dishonesty, fraud, misrepresentation or professional negligence.[29] These types of claims constituted actions in law as to which a right to jury trial also attached. Wright & Miller, Federal Prac. & Proc., § 2311, (citing, e.g., Curriden v. Middleton, 232 U.S. 633 (1914), and Dellefield v. Blockdel Realty Co., 1 F.R.D. 689 (S.D.N.Y. 1941) (where plaintiff sought both money damages and rescission for fraudulent misrepresentation, issues relating to money damages concerned conversion and would be tried to a jury, with court then passing on equitable relief sought)); Teamsters & Helpers, Local No. 391 v. Terry, 494 U.S. 558, 568 (1990) (malpractice action for monetary relief against attorney historically an action at law); see also Granfinanciera, 492 U.S. at 41 (fraudulent conveyance under § 548 an action at law).

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[29] Specifically, the UST seeks relief for violations of: (i) § 526(a)(1), which prohibits a debt relief agency from "fail[ing] to perform any service that such agency informed an assisted person . . . it would provide in connection with a case or proceeding under this title" and (iii) § 526(a)(3), which prohibits debt relief agencies from "misrepresent[ing] to any assisted person . . . directly or indirectly, affirmatively or by material omission, with respect to . . . (A) the services that such agency will provide to such person[,] or (B)the benefits and risks that may result if such person becomes a debtor in a case under this title[.]" See Complaint, Doc. 1, Counts I and II.

3. The civil penalty sought by the UST is legal in nature.

As noted above, the second prong of the Granfinanciera test — the nature of the remedy sought — is more important than the first. See Tull, 481 U.S. at 422. Because the UST purports to seek a remedy that is legal in nature — a civil penalty — Defendants are plainly entitled to a jury trial under the Seventh Amendment.

The UST cannot circumvent Defendants' Seventh Amendment right to a jury trial by arguing that, in addition to a civil penalty, she purports to seek an (ill-conceived) injunction. See Tull, 481 U.S. at 424-25. A litigant is not deprived of a jury trial merely because the Government also purports to seek an injunction. Id.; Wright & Miller, Federal Prac. & Proc., §§ 2313, 2308. It is well-settled "that suits for money damages, including punitive damages, are legal in nature entailing the right to a jury trial, and that this right cannot be abridged even if the damages are considered incidental to the equitable claims." Curtis v. Loether, 415 U.S. 189, 196 n. 11 (1974) (citing Beacon Theatres, Inc. v. Westover, 359 U.S. 500, (1959); and Dairy Queen, Inc. v. Wood, 369 U.S. 469 (1962)); see also Tull, 481 U.S. at 424-25 (Government could have sought injunctive relief independent of, or in addition to, a civil penalty, and thus, the legal relief was not incidental to, or intertwined, with the equitable relief such that a jury trial would be denied). Defendants are plainly entitled to a jury trial on the UST's § 526 claims.

[Transcription note: the filed memorandum continues from Argument V.A.4 (page 10) through the end of Part V.C (page 19). That text is omitted here for length. The Conclusion and signature follow from pages 19 and 20 of the filing.]

V. Conclusion.

For the foregoing reasons, Defendants respectfully ask that this Court grant an order withdrawing the reference in this adversary proceeding that is effective immediately. Alternatively, if the Court denies this motion, Defendants ask the Court to certify the Seventh Amendment right to a jury trial issue and the Fifth Amendment due process issue for interlocutory appeal to the United States Court of Appeals for the Seventh Circuit.

Dated: April 12, 2021

Respectfully submitted,

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